

of the fund's launch, wholly from domestic investors. Trifecta had secured a final close of ₹1,025 crore for its second fund in March 2021. The ₹1,500-crore third fund is nearing its final close. Trifecta has companies such as bigbasket, Cars24 and Share-Chat in its portfolio.

Delhi-based Stride Ventures, the youngest among the leading debt funds, too raised the first close of its second fund in under two months. It received commitments for ₹550 crore of its target corpus of ₹1,000 crore. The fund has an additional greenshoe option of ₹875 crore. Founder and Managing Partner Ishpreet Singh Gandhi says the company, which has start-ups like SUGAR Cosmetics and HomeLane in its portfolio, plans to secure the original size by the end of FY22 and complete the greenshoe in another couple of months.

Mumbai-based InnoVen Capital, the pioneer of venture debt in India, hit the first close of its new fund at ₹740 crore in September and is 3-4 months away from hitting a final close at ₹2,000 crore (including greenshoe), says Ashish Sharma, MD & CEO, InnoVen Capital India. The company has firms such as Udaan and Dailyhunt in its portfolio.

"More start-ups are getting created, good quality capital is going into those companies, and markets are getting deeper. We are seeing greater acceptance for venture debt, and funds are also getting larger pools of capital. The timing between fundraises is getting compressed. Today, funds can write larger cheques, and that allows us to be relevant to a lot of companies," says Alteria's Murali.

BUT WHAT exactly is venture debt? Put simply, venture debt is debt provided to venture-backed new-age companies. It took years of work on capital formations, educating founders on its pos-



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SHAREHOLDING**

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MD & CEO, INNOVEN CAPITAL INDIA

sibilities and stimulating demand before this asset class could enter the mainstream funding environment. Now, with growing fund sizes, faster fundraising cycles, and larger cheques, it does feel like venture debt has finally arrived.

In the US, the size of the venture debt market is estimated to be 10-20 per cent of the annual flows of venture equity. This alternative asset class has been around for 50 years in the US, the most mature market. In India, unofficial estimates peg it to be 2-5 per cent of annual venture capital flows. For context, technology start-ups raised a total of \$42 billion in 2021, according to a report from investment firm Orios Venture Partners.

According to the 'India Venture Debt Report 2022' by Stride Ventures, the amount of venture debt disbursed has increased over 10x in the past 5-6 years and has doubled in the last one year. 2021 saw 111 companies raising funds through debt.

"This is a derivative asset class, meaning the more amount of equity that comes into the market signals to the fact that more companies are getting funded, their capital structures have a lot more liquidity which means they can afford to take more debt and repay it. As venture capital and private equity money continue to come into the market, the size of the venture debt market also continues to go up," says InnoVen's Sharma.

In fact, InnoVen's origin is also how venture debt funding started in India. It began in 2008 when global financial services firm SVB Financial Group set up a unit of Silicon Valley Bank in India to provide debt capital to domestic, venture-backed, early- and mid-stage, high growth companies in the country. But its efforts at securing a banking licence never materialised and in 2015, the Singapore government's investment arm Temasek Holdings acquired the